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Legal, Financial & Fiscal Aspects of Production Sharing Contracts

International Benchmarking of the Brazilian Model

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Legal, Financial & Fiscal Aspects of Production Sharing Contracts

This four-day course provides an integrated overview of the legal, financial and fiscal aspects of production sharing contracts (PSCs), using a structured international comparison to benchmark the Brazilian model. Participants begin by examining the global evolution and core legal architecture of PSCs, then situate Brazil's dual concession/PSC framework—anchored in the Petroleum Law, Pre-Salt Law and Law 15,075/2024—within that wider landscape. The programme then explores how upstream projects are structured financially, how PSC fiscal terms are designed (cost recovery, profit petroleum, royalties and other government revenues), and how these interact with corporate tax, local content, ESG obligations and joint-venture arrangements. The final sessions apply these concepts through economic and commercial analysis and a detailed case study of Brazil's pre-salt PSCs, assessing their advantages and drawbacks versus concessions for both government and investors in the context of energy transition.

LOCATION

Rio de Janeiro, Brazil

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DAY 1: Legal Foundations of Production Sharing Contracts – With Benchmarking to Brazil

- Global evolution of production sharing contracts (PSCs) and their role in upstream petroleum agreements.
- PSCs versus concessions and service contracts: legal nature, risk allocation and state sovereignty over natural resources.
- Typical PSC parties and instruments: host state, NOC, international oil companies and joint operating arrangements.
- Brazil's upstream legal framework: constitutional basis for state ownership, Petroleum Law 9,478/1997, Pre-Salt Law 12,351/2010 and Law 15,075/2024.
- Institutional architecture and decision-making: roles of CNPE, ANP, PPSA and Petrobras in policy, regulation and contract management.
- The coexistence of concession and production sharing regimes in Brazil and criteria for allocating areas to each.
- Core legal structure of PSCs: grant of rights, scope of the contract area, term and extensions, relinquishment, and termination.
- Work programme obligations and approval processes: exploration, appraisal and development commitments in model PSCs.
- Ownership and title to hydrocarbons: oil and gas in situ versus entitlement production and lifting rights under PSCs and Brazilian law.
- Introduction to the Brazilian pre-salt PSC template: key clauses, minimum work obligations, PPSA's management role and approval rights.
- Treatment of associated gas and gas marketing rights in Brazilian PSCs and comparison with other PSC regimes.
- Interactive discussion: policy and legal reasons for Brazil's move from a concession-only system to adding PSCs for the pre-salt.

Day 2: Key PSC Legal Clauses and International Benchmarking of the Brazilian Model

- Framework for comparing PSC legal regimes: state control, investor protection, flexibility, local content, stability and transparency.
- Overview of selected PSC jurisdictions (for example Indonesia, Malaysia, Nigeria, Equatorial Guinea) used as benchmarks throughout the day.
- Grant of rights, contract duration and phases: how exploration and development periods, renewals and relinquishment are structured in different PSC models.
- Brazil's pre-salt PSCs in context: contract term and renewal practices compared with peer PSC regimes.
- Work obligations and operational control: comparison of minimum work requirements, development plan approvals and operator rights across PSCs.
- Brazilian approach to approvals and supervision: roles of ANP and PPSA in work programmes, operations and decision-making, benchmarked against other NOC/state participation models.
- Local content and ESG obligations: how local content is embedded and enforced in PSCs globally.
- Brazil's local content framework, including recent flexibility and optimisation measures introduced by Law 15,075/2024, positioned against international practice.
- State participation and governance: PPSA's role under Brazilian PSCs compared with NOC participation models in other PSC countries.
- Change in law and stability mechanisms: freezing clauses, economic equilibrium and hybrid approaches in PSCs, and how Brazilian law and contracts address stability and renegotiation.
- Unitisation, decommissioning and environmental responsibilities: legal treatment in PSCs and Brazil's specific framework for pre-salt fields.
- Group exercise: building a qualitative "legal risk and attractiveness" scorecard for Brazilian PSCs versus two selected international PSC models.

DAY 3: Financial & Fiscal Aspects

§ Investor's decision process for investing in an oil and gas project: geology, financial and fiscal terms, legal and regulatory terms
§ Aspects of upstream projects impacting for the design of financial and fiscal terms for upstream operations
§Nature and scope of upstream financial and fiscal payments, project's value and fiscal terms, risks to investors
§Upstream fiscal terms and international public disclosure obligations

§ Rationale for using production sharing
§ Mechanics of production sharing
§ Cost recovery:
–Cost limit and oil and gas prices: issues
–Annual work programme cycles and approval processes
–Ring-fencing
–Recoverable and non-recoverable expenditure: criteria and rules
–Detailed recovery rules
–Depreciation and special provisions
–Decarbonisation and low-carbon investments and cost recovery
–Decommissioning and abandonment: financing and pre-funding (procedure for estimates, pre-funding mechanics and cost recovery rules), analysis of the best options for companies in Brazil
–Cost recovery and low oil and gas prices: issues
–Terms for natural gas and natural gas liquids
–Interaction with other fiscal payments
–Valuation provisions
–Accounting procedures
–Audits
–Lifting of production
–Entitlement production
§ Profit petroleum sharing:
–Different concepts used for profit petroleum
–Rationale for the concept used in Brazil: advantages and issues
§ Royalty
–Concepts and calculation rules
–Royalty and production sharing
–UNCLOS royalty and national fiscal and financial payments



DAY 4: Financial & Fiscal Aspects

§ Corporate income tax
§ Bonuses
§ Training contributions
§ Local content
§ Payments on subcontractors
§ Environmental fees, carbon pricing

Joint ventures
§ Structures of joint ventures: incorporated and unincorporated JVs
§ Joint venture mechanics and governance
§ Carried interest and full-working interest
§ Joint and sole-risk operations: mechanics, consequences and typical premiums, cost recovery matters
§ Lifting arrangements
§ Emissions allocations
§ Joint ventures and carbon storage

Economic and commercial analysis of financial and fiscal terms
- How governments set the level of government take: pre-determined and market-based approaches
- Fiscal stability: various designs and issues
- Force majeure and fiscal payments
- Fiscal terms and changes in production, prices and costs
- Fiscal terms and commercial decisions
- Late-life of fields

§Contract duration and renewals: strategies and issues

Detailed discussion of the production sharing contracts in Brazil:
§ Is the production sharing model justified for the pre-salt instead of concessions?
§ Advantage and disadvantages of the pre-salt PSCs have over concessions for the government and for investors
§ Approaches to signature bonuses: why they are needed and how they could be restructured
§ Royalty and project's economics
§ How the corporate tax could improve the overall fiscal and financial package in the PSCs
§ Scorecard for the pre-salt production sharing
§ Brazil's acreage allocation practices: advantages and disadvantages
§ Energy transition and the pre-salt production sharing contracts





Contact us

+44 (0) 1582 51-62-47

info@londonpetroacademy.co.uk

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LONDON PETRO ACADEMY
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3rd Floor, 207 Regent Street, W1B3HH, London, United Kingdom

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